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Nation Media Group

Media of Africa for Africa

NATION MEDIA GROUP LIMITED

Audited Group Results for the year ended 31st December 2014

The Directors are pleased to present the Group's audited financial results for the year ended 31st December, 2014.

GROUP RESULTS

The Group's profit before tax at Kshs 3.6 billion represented a marginal improvement over the previous year's results notwithstanding an adverse impact of Kshs 230 million charge in the accounts, in respect of accelerated depreciation and write off of analogue broadcasting equipment and the old printing press together with their associated spares.

Revenue for the period at Kshs 13.4 billion was at par with the prior year's achievement. The depressed revenue level is attributable to a combination of a challenging economic environment, coupled with one-off election related income earned in 2013.

Adjusting for the one-off items, the underlying results were satisfactory and in line with the overall market's economic performance.

OUTLOOK

The Group outlook for 2015 is positive, with the commissioning of a new state of the art printing press later in the year, as well as the benefits expected to accrue from resolution of the impasse on migration to digital television signal distribution, which will unlock significant business opportunities in the new order. The board is cautiously optimistic of achieving good results in 2015.

DIVIDEND

The Directors have recommended the payment of a final dividend for the year of Kshs.7.50 (300%) per share on the issued share capital as at 31st December 2014, which together with the interim dividend of Kshs.2.50 (100%) per share paid on 30th September 2014, makes a total dividend pay-out of Kshs.10.00 per share (400%) for the year ended 31st December 2014.

The proposed dividend payout has been maintained at the same level as was effected for the previous year.

The dividend will be paid less withholding tax where applicable on or about 30th July 2015, to the shareholders on the register of members at the close of business on 22nd May 2015. The register of members will be closed from the 25th to the 29th May 2015, both dates inclusive.

ANNUAL GENERAL MEETING

The Company will hold its Annual General Meeting on Friday 5th June, 2015 at 2.00pm in the Amphitheatre at the Kenyatta International Conference Centre, Nairobi.

By order of the Board

J C Kinyua
COMPANY SECRETARY
20th March 2015

OUR BRANDS

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Audited Group Results for the Period ended 31 December 2014

Condensed Consolidated Statement of Comprehensive Income for the year ended 31 December

	2014 Kshs.million	2013 Kshs.million
Revenue	13,351.3	13,373.7
Profit before tax	3,624.0	3,587.1
Income tax expense	(1,163.5)	(1,053.9)
Profit after tax	2,460.5	2,533.2
Other comprehensive income	(50.3)	92.5
Total Comprehensive Income for the year	2,410.2	2,625.7
Attributable to:		
Equity holders of the Company	2,418.1	2,615.7
Non-controlling interest	(7.9)	10.0
Earnings per share (Kshs)	13.1	13.4
Dividend per share (Kshs)-Ordinary	10.0	10.0

Condensed Consolidated Statement of Financial Position as at 31 December

	2014 Kshs.million	2013 Kshs.million
Capital and reserves		
Share capital	471.4	471.4
Other reserves	63.3	119.2
Retained earnings	6,765.4	6,176.9
Proposed dividends	1,414.1	1,414.1
	8,714.2	**8,181.6**
Non-controlling interest	53.9	61.8
Total equity	**8,768.1**	**8,243.4**
Non-current liabilities	57.9	84.4
	8,826.0	**8,327.8**
Assets		
Non-current assets	4,569.4	3,877.9
Working capital		
Current assets	7,374.9	7,566.3
Current liabilities	3,118.3	3,116.4
Net working capital	4,256.6	4,449.9
	8,826.0	**8,327.8**

Condensed Consolidated statement of Cashflows for the period ended 31 December

	2014 Kshs.million	2013 Kshs.million
Cash generated from operations	3,566.1	3,402.3
Interest received	299.0	280.8
Interest paid	(11.6)	(15.3)
Tax paid	(1,331.2)	(1,422.9)
Net cash from operating activities	**2,522.3**	**2,244.9**
Net cash used in investing activities	(991.2)	(443.3)
Net cash used in financing activities	(1,885.0)	(1,723.9)
Increase in cash and cash equivalents	**(353.9)**	**77.7**
At start of period	3,805.7	3,728.0
At end of period	**3,451.8**	**3,805.7**